

ORIGINAL

(S E R V E D)
(FEBRUARY 8, 1993)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

February 8, 1993

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

HEARING TO OPEN IN SAN FRANCISCO

The schedule in this proceeding contemplates that the oral hearing will begin on Tuesday, April 13, 1993, and continue until the direct case is completed unless a recess or change of venue is necessary. The parties have been unable to agree on the venue(s) of the hearing and submitted separate proposals on January 22, 1993.

Complainants want part of the hearing held in Guam, and seek an order for inspection of the Port of Guam and a demonstration of a ship unloading at the port. Complainants are located in and have their offices in Guam. Complainants list problems,

conditions and operations at the Port of Guam, identified and assailed in respondents' direct testimony as reasons for holding a hearing on Guam. (See Appendix A.) Complainants contend that only a hearing in Guam, an inspection of the port, and a demonstration of a vessel unloading will enable the trier of fact to evaluate the parties' competing contentions and determine the merits of their claims. Complainants do not object to conducting that portion of the hearing which does not involve Guam-based witnesses or testimony about the facilities or capacities of the Port of Guam in Washington, D.C. or elsewhere.

Complainants note that the location of the witnesses, the attorneys, the records and papers necessary for the hearing, the relative costs involved, and the convenience and necessity of the parties are factors to be considered in choosing the venue(s) for a hearing.

Complainants do not indicate the number of Guam-based witnesses they intend to present as part of their direct case. Respondents oppose a hearing on Guam and have identified only one Guam-based witness they intend to cross-examine if the hearing is held on the mainland. Complainants mention that Guam-based witnesses might be needed on rebuttal. Complainants also state that even if only a handful of witnesses were called during the Guam-based portion of the hearing it would still be necessary to hold a hearing in Guam to prove or disprove the many points of contention about Guam put into issue by respondents.

Complainants also allege that without an inspection of the port and a demonstration of its operations there is no basis for resolving the dispute regarding the supposed deficiencies and problems listed in Appendix A. Complainants also mention that maps and

diagrams of the port area and equipment submitted by the parties would be more meaningful if the Port of Guam were visited.

American President Lines, Ltd. (APL), opposes having any hearing on Guam. It prefers San Francisco, California, for examination of complainants' witnesses given the locations of the witnesses (three of five of complainants' mainland-based witnesses are based on the West Coast) and the experts and support personnel, most of whom are in the San Francisco area. It would not oppose having some of complainants' witnesses be heard in Washington, D.C. APL suggests San Francisco for examination of respondents' witnesses because respondents have major offices and facilities there and most of their witnesses and technical support people are located on the West Coast.

APL also suggests that in selecting the venue the following factors must be considered--reducing the expense and burden on the parties, witnesses, experts, and support personnel.

Respondents are willing to waive cross-examination of 18 of 24 witnesses for whom complainants have submitted written direct testimony, which includes all but one of complainants' Guam-based witnesses, if the hearing is conducted on the mainland. Of the six witnesses respondents have stated an unconditional intention to cross-examine, five are on the mainland--three on the West Coast and two in Washington, D.C. All nine hostile witnesses, whom complainants plan to call as part of their direct case, are located on the West Coast.

Sea-Land Service, Inc., prefers San Francisco relying on cost, convenience, location of witnesses, nature and extent of facts in dispute, location of physical proof, counsel, and

human resources. Sea-Land's pertinent sales and pricing personnel, in-house technical experts and support personnel, and pertinent documents are located on the West Coast. Ten of respondents' witnesses for their direct case are on the West Coast, one in Massachusetts, one in New Jersey, and the one in Guam can readily be available on the West Coast in the course of his business.

Sea-Land estimates that the aggregate direct monetary expense of this proceeding to complainants and respondents has now exceeded several million dollars.¹

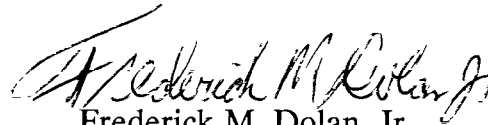
The schedule did not include an opportunity for the parties to reply and none have sought to do so.

APL also notes that since much of the evidence is subject to the protective order, most of the hearing will be closed.

In my judgment there is no sound basis for granting complainants' request to hold part of the hearing in Guam, considering the few witnesses who would be interrogated there, the cost, time, and the adverse effects on the majority of the witnesses, counsel, and support personnel. Complainants' other needs to address the problems, conditions, and port operations can be satisfactorily addressed, as in any other proceeding, by oral or written testimony without a physical examination of the Port of Guam. Eventually everything would have to be reduced to writing, to compile a record and ultimately enable the preparation of briefs and a written decision. It is not established that there are any material facts in controversy which cannot be adequately treated by cross-examination, the problems, etc.,

¹If the other parties agree with this statement it is earnestly suggested that now that all the direct evidence has been exchanged, good faith attempts be made to settle this case before the next stage commences. The date of any final decision after exhaustion of court appeals cannot be reasonably predicted.

alluded to in Appendix A notwithstanding. Thus, complainants' request to have part of the hearing on Guam is denied. The hearing will open in San Francisco on April 13, 1993, at 9:30 a.m. (Local Time), at a hearing site to be later identified.

A handwritten signature in black ink, appearing to read "Frederick M. Dolan, Jr.", written in a cursive style.

Frederick M. Dolan, Jr.
Administrative Law Judge

APPENDIX A

To support their allegation of higher costs, Respondents point to certain purported "problems" at the Port of Guam. Indeed, in the written direct testimony Respondents have already submitted, they allege a myriad of problems at the Port of Guam including, but not limited to, the following: (i) there is only a single berth at which vessels can be worked (M. Morris¹, ¶¶ 16b, 73); (ii) there is no chassis or container repair facility at Port of Guam (M. Morris, ¶ 19i); (iii) the harbor draft at Port of Guam is inadequate (M. Morris, ¶¶ 58-61; Kolbe² p. 4-27); (iv) the height of the cranes at Port of Guam is inadequate for loading and unloading of ships (M. Morris, ¶¶ 62-63, Kolbe p. 4-27); (v) the number of containers exceeds the size of the container yard (M. Morris ¶¶ 74-76; Pruitt³ p. 17; Kenwell⁴ p. 15); (vi) there are mechanical problems with the cranes (M. Morris ¶¶ 77-78; Kenwell, p. 15); and (vii) there are mechanical problems with the transtrainers (M. Morris ¶¶ 77-78; Kenwell, p. 15). Indeed, Respondents devote a great part of

¹ "M. Morris" refers to the Written Direct Testimony of Michael Morris, an APL witness.

² "Kolbe" refers to the Written Direct Testimony of A. Lawrence Kolbe, a witness for both Sea-Land and APL.

³ "Pruitt" refers to the Written Direct Testimony of Kurt C. Pruitt, a Sea-Land witness.

⁴ "Kenwell" refers to the Written Direct Testimony of William J. Kenwell, a Sea-Land witness.

their written direct case to their attack upon the conditions and operations of the Port of Guam.⁵

⁵ Respondents also allege that: ships spend too much time at the Port of Guam because of its deficiencies (M. Morris ¶¶ 80-82; Kolbe p. 4-29); there is a shortage of warehouse space on Guam (Webb ¶ 7; Pruitt p. 7); there are higher administrative costs at the Port of Guam (Nelson ¶¶ 54-59); containers depreciate more rapidly at the Port of Guam (Nelson ¶¶ 66-68); agency fees are higher at the Port of Guam (Nelson, ¶¶ 69-71); the cranes at Guam cannot lift containers stacked five high, which means that vessels cannot arrive at the Port of Guam with a full load profile (M. Morris, ¶ 63; Pruitt, p. 5); the Port of Guam is too congested (Pruitt, p. 10); crane productivity at the Port of Guam is low (i.e., there is a low number of picks-per-hour) (Pruitt, p. 12; Kenwell p. 15); the Port of Guam uses Sea-Land chassis to work foreign vessels, creating delays for Sea-Land (Pruitt, p. 14); turn time (i.e., time it takes to take a full container off a ship and have the same returned empty to Sea-Land's yard) for Sea-Land containers is twice as long at the Port of Guam as at other ports (Pruitt, p. 15); the Port of Guam's facility, "including the yard space, the equipment, the entire physical plant, has simply not kept pace over the years" (Pruitt, p. 17); there are delays in getting containers up off the ground and on wheels at the Port of Guam (Pruitt, p. 17); equipment replacement costs are higher at the Port of Guam because of the corrosive environment there (Pruitt, p. 22; Kenwell p. 16); the Port Authority at Guam damages a lot of equipment (Pruitt, p. 22); and equipment costs and requirements are extremely high at the Port of Guam (Kenwell, p. 16).